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PART I: WRITE "TRUE" IF THE STATEMENT IS CORRECT AND "FALSE" IF THE STATEMENT IS INCORRECT

(1 Mark each).

- 3
- FALSE 1. Marketing plan gives information about Plant location, inventory management and quality control.
- FALSE 2. Balance sheet is the part of business plan which shows the asset, liability and capital
- TRUE 3. Limited liability is one of the advantages of corporation type of business ownership
- FALSE 4. The depth and detail of a business plan is the same regardless of the size and scope of the new venture.
- FALSE 5. Proprietorship is a form of business with single owner who has limited liability, controls all decisions and receives all profits.

PART II: CHOOSE THE BEST ANSWER FROM THE GIVEN ALTERNATIVES (2 Marks each)

- Ax 6. The part of business plan which reports the total sales, expenses and profit is called _____
- a. Balance sheet b. Income summary c. Finance d. None
- A 7. In the business plan the point where the total income becomes equal to total expenses refers to _____
- a. Break-even point d. None
- b. Executive summary
- c. Balance sheet
- 6 Ax 8. Which one of the following is not the advantage of partnership form of business?
- a. Easy to establish d. Ability to attract unlimited partners
- b. Complementary skills of partners e. Little government regulation
- c. Larger pool of capital
- B 9. Which one of the following would provide details about how the organization would be dissolved?
- a. Appendix b. Exit strategy c. Critical risk d. None
- B 10. Which one of the following is the disadvantage of corporation form of business?
- a. Limited liability of stockholders d. Ability to continue indefinitely
- b. Double taxation e. Transferable ownership
- c. Ability to attract capital
- A 11. Which one of the following is the disadvantage of sole proprietorship?
- a. Liability b. Transferability of interest c. Start-up cost d. Receive all profits
- C 12. Which one of the criteria to define small business is odd?
- a. Number of employees, d. Level of production
- b. Asset size
- c. Independence
- A 13. Small business has insignificant effect on the influence of market price. To which one of the controlling criteria of defining small business this statement refers?
- a. Small market share b. Independence c. Personalized management d. None